



Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case question related to a sportswear manufacturer and focused on various practical accounting issues in the manufacturing industry, such as revenue recognition, promotional and advertising expenditure, and group accounting. This case question was structured to assess candidates' logical thinking and analytical skills instead of mechanical computations. Furthermore, candidates were required to extract the relevant facts in the case study to support their arguments. Candidates might find it relatively new to be assessed through this approach under the New Qualification Programme. Candidates' performance was less than satisfactory for those questions related to commonly seen financial reporting standards in examinations, such as revenue recognition and consolidation. Candidates were also generally weak in applying their knowledge to a case scenario.

Specific Comments

Question 1 – 15 marks

This question required candidates to prepare a report to advise on the accounting impacts arising from the sales and marketing activities of a manufacturing company which were very typical in practice.

Specifically, Question 1(a) assessed candidates' knowledge on when revenue should be recognised in two sales channels: namely, online sales and sales through retail partners. Candidates' performance was fair, and they were, in general, able to provide valid and reasonable arguments based on the control principles in HKFRS 15 *Revenue from Contracts with Customers* to reach the correct conclusions. However, some candidates provided discussions on steps 1 to 4 in the five-step model (such as explanations of how many performance obligations there were in the scenario), which were not required in this question. Quite a number of candidates wrongly identified the issue in the sales through retail partners and related it to the principal versus agent considerations. Candidates are advised to carefully identify the correct issue(s) and spend time wisely to focus on the relevant discussions to address the requirements in the question.

Question 1(b) assessed candidates' knowledge on how to deal with expenditure in a celebrity sponsorship. Candidates' performance was not satisfactory. Some

candidates applied HKFRS 15 to explain the accounting treatments of such expenditure, which was obviously incorrect. Some incorrectly treated the celebrity as an employee of the company and applied HKAS 19 *Employee Benefits* to account for the three types of bonus payments. Candidates are advised to understand the case context clearly before attempting to address the requirements in the question.

Question 1 also assessed candidates' core enabling competencies, which is a key feature in the New Qualification Programme. Specifically, the question assessed candidates' analytical and communication skills. In general, candidates demonstrated average performance for analysing the issues in the case. In addition, candidates' ability to present their answers in a structured way varied. Candidates are advised to carefully read the assessment rubrics for the core enabling competencies to clearly understand the requirements in written examinations.

Question 2 – 31 marks

This question required candidates to handle the group accounting scenario in the case context, with explanations, computations, and the preparation of a consolidated statement of changes in equity. The format was not the same as in previous forms of the Module A examination as candidates were not required to prepare consolidation worksheets. Instead, consolidation techniques were assessed in the form of a discursive question, and candidates were required to identify the relevant issues and express their thoughts in a logical manner. Candidates' performance was less than satisfactory.

Question 2(a) assessed candidates' knowledge on a business combination achieved in stages as well as the consolidation techniques in the year of acquisition. The majority of candidates correctly identified this as being a business combination achieved in stages. Yet quite a number of candidates discussed whether control existed, which was already concluded in the case question. Furthermore, many candidates applied HKFRS 9 (2014) *Financial Instruments* to discuss how the fair value change of the passive investment before obtaining control should be accounted for, which was not required in this question. Again, candidates are reminded to spend time wisely to focus on the relevant discussions to address the requirements in the question.

This acquisition included a fair value differential as at the acquisition date which related to a customer list. Candidates were required to conclude whether such a customer list should be recognised in the business combination and, if so, analyse its deferred tax impact. Candidates were in general aware of the proper accounting treatments of fair value differential arising from the customer list. Some stronger candidates correctly included the deferred tax impacts arising from such a customer list as part of the net identifiable assets acquired. However, the majority of candidates did not clearly explain the rationale behind this. Take the customer list as an illustration – some candidates wrote consolidation adjustment journal entries to conclude that an intangible asset was created as at the acquisition date. While journal entries could help summarise the accounting impacts, they do not explain why such a customer list could be recognised as an intangible asset. Candidates were expected to apply the identifiability concept to explain the rationale behind this, rather than directly drawing a conclusion in the



computations or journal entries. Candidates are therefore reminded to detail their thinking process logically in when responding to discursive questions.

This acquisition also included a contingent consideration in the form of issuing a fixed number of shares should the earning targets be met. Many candidates included this contingent consideration correctly in the total consideration. However, many candidates were weak in classifying this contingent consideration and, therefore, wrongly concluded its accounting impacts after the acquisition date.

It was good to see that candidates demonstrated an awareness of basic knowledge in group accounting, including recognition of goodwill and the calculation of the non-controlling interest balance at the end of the reporting year.

In general, candidates dealt with computations better than with expressing their thoughts in words. It should be noted that the learning outcomes relating to business combinations and consolidation in Module 11 require candidates to demonstrate a high proficiency level. Candidates are therefore advised to identify the issues in group accounting broadly, understand the logic behind the identified issues, and provide a sensible explanation based on the accounting standards instead of purely relying on mechanical computation.

Question 2(b) assessed candidates' knowledge on the preparation of a consolidated statement of changes in equity. Most of the figures were expected to be extracted from the answers in Question 2(a). Candidates' performance was not satisfactory as many candidates did not demonstrate sufficient awareness of the format of the statement of changes in equity and were therefore unable to utilise their answers in Question 2(a) in this part.

Question 3 – 4 marks

This question required candidates to explain the disclosure requirements relating to liabilities arising from financing activities. Most candidates did not attempt this question. Those who did attempt the question did not relate this question to HKAS 7 *Statement of Cash Flows*. Candidates are therefore advised to be aware of the disclosure requirements as they can provide useful information to users in the context of financial reporting.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen in practice.

In general, candidates were able to understand the requirements of the questions and identify the applicable standards. However, a number of candidates seemed to have

had difficulty with building up their arguments to logically arrive at the appropriate conclusions. Some candidates also cited large sections of the requirements which were not directly relevant to the case under consideration.

Candidates that scored full or high marks were able to present their answers succinctly in response to what was required, supporting their answers with the relevant requirements from the specific financial reporting standards with precision.

In general, performance in this section was less than satisfactory.

Specific Comments

Question 4(a) – 10 marks

This question required candidates to evaluate the appropriateness of management's comments about not recognising loss allowance arising from trade receivables without significant financing components under two scenarios: 1) wherein the balance was fully settled after year end; and 2) wherein the settlement history of the counterparty had been stable and the outstanding balance was not past due as of the year end date, but where the counterparty went bankrupt before the financial statements were authorised for issue.

Performance was not satisfactory. Most candidates correctly identified that loss allowance should be made under both scenarios, but many were unable to articulate the justifications behind their answers in a coherent manner.

Some candidates spent a significant amount of time explaining how a general approach applies to the case when the fact pattern specified that the financial assets concerned were trade receivables without a significant financing component, in which case the simplified approach should always apply.

Some candidates inappropriately focused on the balance being settled after year end to argue for no loss allowance needed, when in principle credit risk would not be nil.

A few candidates mistakenly applied concepts in HKAS 36 *Impairment of Assets* when they should have applied HKFRS 9 *Financial Instruments*.

Question 4(b) – 5 marks

This question required candidates to discuss whether they agree that a drop in fair value would immediately lead to impairment loss being recognised on some machineries which would have been classified as property, plant, and equipment.

Performance on this question was poor.

Most candidates that attempted the question managed to discern that the answer would be "no", but many could not present the underlying reasons for this in a structured and concise manner.



Question 4(c) – 4 marks

This question required candidates to advise on the impact to the financial statements if management of the company is determined to close down their business after the year end but before the financial statements are authorised for issue.

Performance on this question was poor. Candidates that correctly identified this as being a “going concern issue” could have presented their justifications in a more logical manner and could have summarised the impacts in more detail.

Question 5(a) – 5 marks

This question required candidates to explain how goodwill arising from a business combination should be allocated in accordance with HKAS 36 *Impairment of Assets*.

Performance on this question was not satisfactory. Many candidates that attempted the question correctly identified the requirements from the standards, but they did not relate them to the facts provided in the question when drawing their conclusions.

Some candidates focused on discussing the timing and mechanism of allocation of goodwill, which was not relevant to the case at hand.

Question 5(b) – 5 marks

This question required candidates to advise on the classification for measurement of a loan receivable that bears variable interests with a cap under HKFRS 9 *Financial Instruments*.

Performance on this question was poor. Many candidates did not adequately argue that the instrument could meet the SPPI test.

Some candidates misinterpreted the question as focusing on modification.

Question 5(c) – 11 marks

This question required candidates to analyse the treatment of government assistance which meets the definition of being government grants.

Performance on this question was fair. Many candidates correctly identified the applicable standard, although some showed misconceptions on the timing of the recognition of the grants. Some candidates drew contradictory conclusions.

Question 6(a) – 4 marks

This question required candidates to describe integrated reporting and to compare it with Environmental, Social, and Governance (“ESG”) reporting. Candidates were also required to provide a description of the roles and responsibilities of the board in ESG reporting.



Performance was less than satisfactory. Many provided accurate definitions and demonstrated an awareness of the reporting requirements but were unaware of the general roles and responsibilities of the board in ESG reporting. In addition, many candidates elaborated excessively for a 4-mark question.

Question 6(b) – 6 marks

This question required candidates to analyse the ethical issues involved in a case where the situation might not necessarily impact the true and fair presentation of the financial statements per se but could affect the company's integrated/ESG reporting. Many candidates correctly identified the principles from the Code of Ethics but needed to elaborate further on how they relate to the case in the question.

Performance was less than satisfactory.

(III) Conclusion and Recommendation

Section A:

Module 11 focuses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgement in evaluating accounting issues in order to provide advice on the most appropriate treatment. Candidates may see a change in the assessment approach, especially in Section A. Candidates are reminded to demonstrate analytical skills in the drafting of their answers. Specifically, they are required to consider the appropriate financial reporting standard(s), extract the relevant principles (technical knowledge), and utilise the facts in the case for structuring their local arguments (critical analysis) to reach a correct conclusion.

Section B:

Overall, the performance of the candidates was not satisfactory.

Candidates are reminded to read the questions carefully and address what is being asked, including specifically addressing management's comments when the questions ask for an evaluation.

In addition to the conclusions made, it is also important to demonstrate an understanding of how the answers are being arrived at in a concise and coherent manner. Citing from the standards, if any, should be done to address the issue at hand to build up an argument to reach a logical conclusion.